Starbucks – Three-Statement Financial Model & DCF Valuation

Excel model · FY2024–FY2026 actuals from Starbucks' earnings releases, FY2027–FY2031 forecast · $ millions unless stated · Valuation date: end of FY2026

🔗 Excel model with charts (all formulas, Assumptions sheet with every driver): **https://drive.google.com/file/d/1NzjQuGD9LP2pDER0Piqc_3HmmieUpf1h/view?usp=sharing**

$37.9B
FY2026 revenue, up 2.0% on FY2025

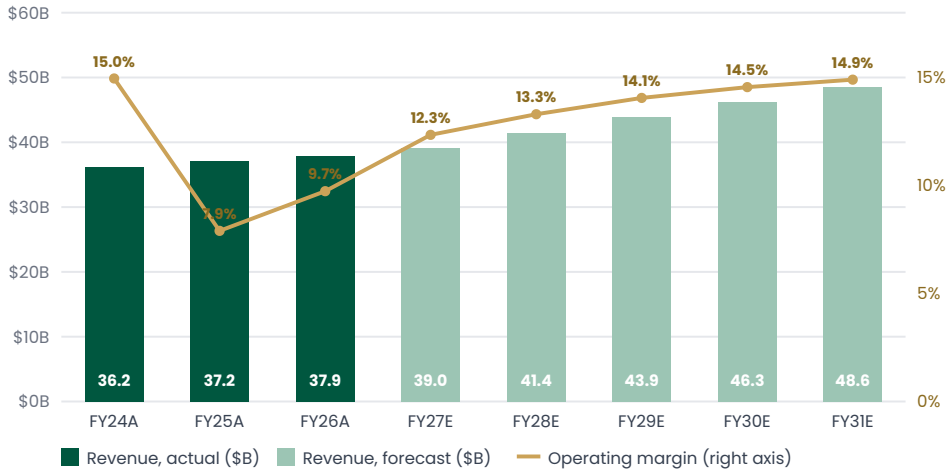
9.7%
FY2026 operating margin, down from 15.0% in FY2024

$3.72B
FY2026 free cash flow, against $2.82B of dividends

$62.12
DCF value per share at 8.5% WACC and 2.5% terminal growth

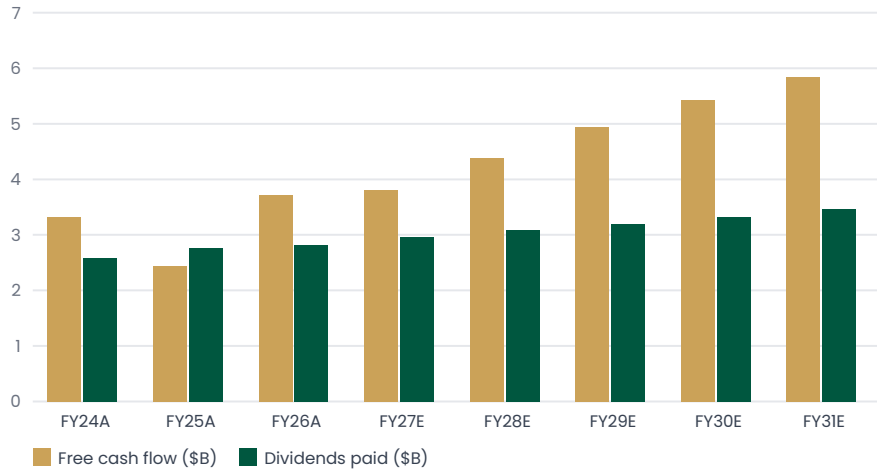
-34%
against the $93.58 share price (7 Oct 2026)

Revenue and operating margin



- **Margin squeeze:** operating margin fell from 15.0% (FY24) to 7.9% (FY25) as coffeehouse costs rose to 45.9% of revenue and $892M of restructuring charges hit. FY26 recovered to 9.7%.
- **Forecast:** revenue grows 3%–6% a year to $48.6B by FY31, and margin rebuilds to 14.9% as store costs ease to 43.3% of revenue.

Free cash flow against dividends



- **Dividend cover:** free cash flow covered dividends 1.3x in FY24 and FY26 but only 0.9x in FY25, when dividends were larger than free cash flow.
- **Balance sheet:** shareholders' equity is negative ($7.7B deficit in FY26) after years of buybacks and dividends. Debt fell by $2.8B in FY26 to $13.3B.

Source: Starbucks Q4 and full-year earnings releases (FY2025, 29 Oct 2025; FY2026, 29 Oct 2026). All three statements are linked, and balance-sheet and cash checks read 0 in every year. Market inputs (share price, risk-free rate, beta) are approximate as of Oct 2026. Educational project only, not investment advice.

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DCF Valuation and Sensitivity

Unlevered free cash flow discounted at WACC (CAPM), with a Gordon-growth terminal value · $ millions

Unlevered free cash flow ($ millions)

Line	FY27E	FY28E	FY29E	FY30E	FY31E
EBIT	4,820	5,505	6,164	6,735	7,242
Less: tax on EBIT (25%)	-1,205	-1,376	-1,541	-1,684	-1,810
NOPAT	3,615	4,129	4,623	5,051	5,431
Plus: D&A	1,523	1,614	1,711	1,805	1,895
Less: capex	-1,562	-1,738	-1,843	-1,944	-2,041
Working capital (cash released)	104	214	227	220	211
Unlevered free cash flow	**3,680**	**4,219**	**4,719**	**5,133**	**5,497**
Discount factor at 8.5%	0.922	0.849	0.783	0.722	0.665
Present value	**3,392**	**3,583**	**3,694**	**3,703**	**3,655**

Valuation bridge

Item	$ millions
PV of free cash flows, FY27–FY31	18,027
PV of terminal value (78% of enterprise value)	62,417
Enterprise value	**80,444**
Less: total debt	(13,277)
Plus: cash and short-term investments	3,864
Equity value ÷ 1,143.4M diluted shares	**71,032 → $62.12 per share**

WACC build

Input	Value
Risk-free rate (US 10-year Treasury)	4.4%
Equity beta × equity risk premium	0.97 × 5.0%
Cost of equity (CAPM)	9.2%
After-tax cost of debt	2.5%
Weights: equity / debt	89% / 11%
WACC	**8.5%**

Value per share: WACC × terminal growth

WACC \ growth	1.5%	2.0%	2.5%	3.0%	3.5%
7.0%	$71.48	$78.14	$86.29	**$96.48**	**$109.58**
7.5%	$64.63	$70.09	$76.63	$84.63	**$94.63**
8.0%	$58.85	$63.38	$68.73	$75.16	$83.01
8.5%	$53.89	$57.71	**$62.15**	$67.41	$73.72
9.0%	$49.60	$52.85	$56.59	$60.95	$66.12
9.5%	$45.85	$48.64	$51.82	$55.50	$59.78
10.0%	$42.54	$44.95	$47.69	$50.82	$54.43

Dark cell = base case (sensitivity uses WACC rounded to 8.5%, so it shows $62.15 against $62.12 on the DCF sheet). Green cells = at or above the $93.58 share price, reached only with a WACC of 7.0%–7.5% and growth of 3.0%–3.5%.

Key finding

- At base-case assumptions the model values Starbucks at $62.12 a share, 34% below the market price. The market is pricing in a faster margin recovery or a lower discount rate than this forecast assumes; implied EV/FY27 EBITDA is 12.7x.

Simplifications: operating leases, goodwill and other long-term items held flat in the forecast; no buybacks assumed; stock-based compensation treated as a real cost.
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